CASE: ARROGANT BREWERY

Session 11

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https://iepublishing.ie.edu/es/arrogant-brewing-strategy-in-the-craft-beer-market

Case study Index

1. Core Competences (Resources + Capabilities)

   → VRIO Analysis

2. Porter´s Five Forces → Industry and Craft Beer Segment

1. Types of Competition
2. Marketing strategy & Price
3. Resources & Capabilities
4. Answering Competitors → FUNDERBERG & TIROLE MATRIX



Part 1 → THE PARTNER

1. **PROBLEM**: Existing small Craft Brewery **WANTS TO ENTER IN THE MARKET**.

2. **ANALYSIS**:

   1. **Core competences (Key Resources and Capabilities)**
      - → **VRIO Analysis**
      - → **Map of strategic Resources and Capabilities**
   2. **Profitability of the Industry and Segment**
      - → **Porters Five Forces: Industry + Segment**
      - → **Key success factors**

3. **DECISION** → What is going to be our competitive advantage?
   - a) Differentiation
   - b) Cost Leadership



Video 1 → THE PARTNER (1 m.)

Please, watch the Video nº 1




VRIO ANALYSIS
AMAZING RECIPE
GREAT BRAND IMAGE
FANTASTIC TEAM

RECIPE (VRIO ANALYSIS)



BRAND IMAGE (VRIO ANALYSIS)

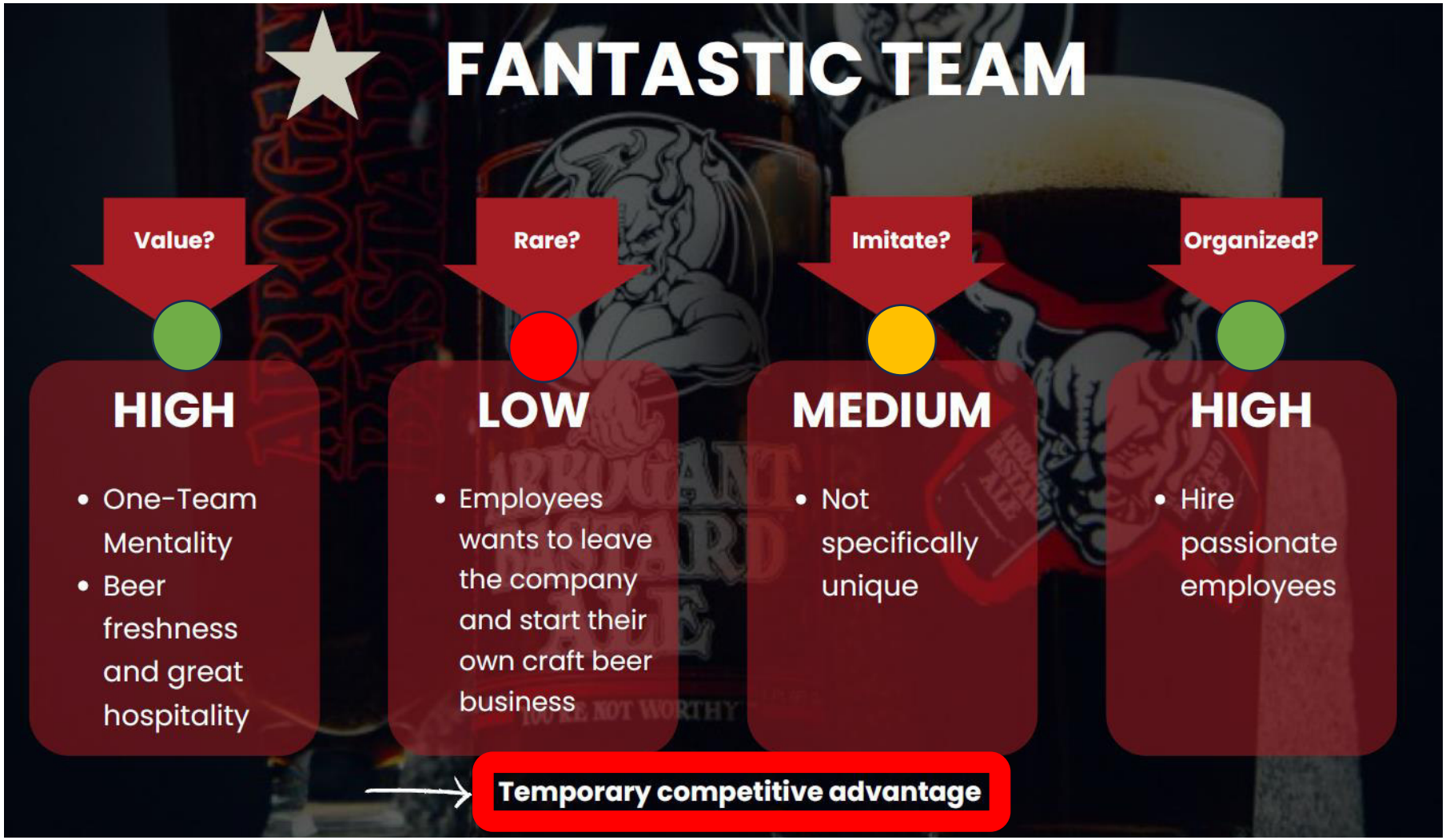
GREAT BRAND IMAGE

Value?	Rare?	Imitate?	Organized?
HIGH	HIGH	HIGH	HIGH
• Attracts customers • Builds brand loyalty	• Distinctive • Niche Market • Huge following	• Authentic • First mover advantage • Devil logo	• Planning to grow their brand image



→ **Sustained competitive advantage**

TEAM (VRIO ANALYSIS)



Developing strategic implications

*Expensive Packaging
*Too much variety

*Brand
*Recipe
*Story Telling

Get ride of it or turn into key strength

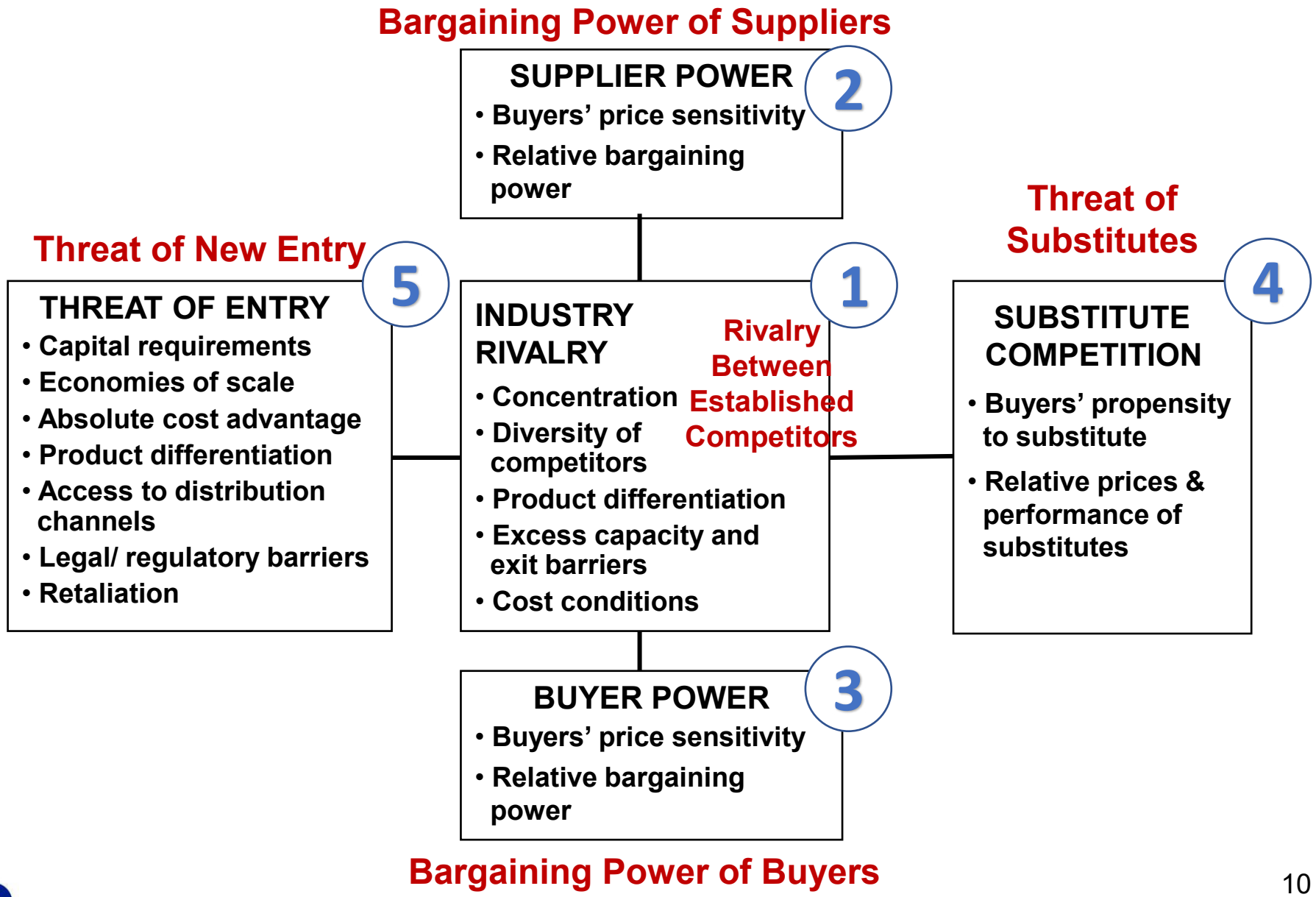


Exploit

Benchmarking to identify relative strengths

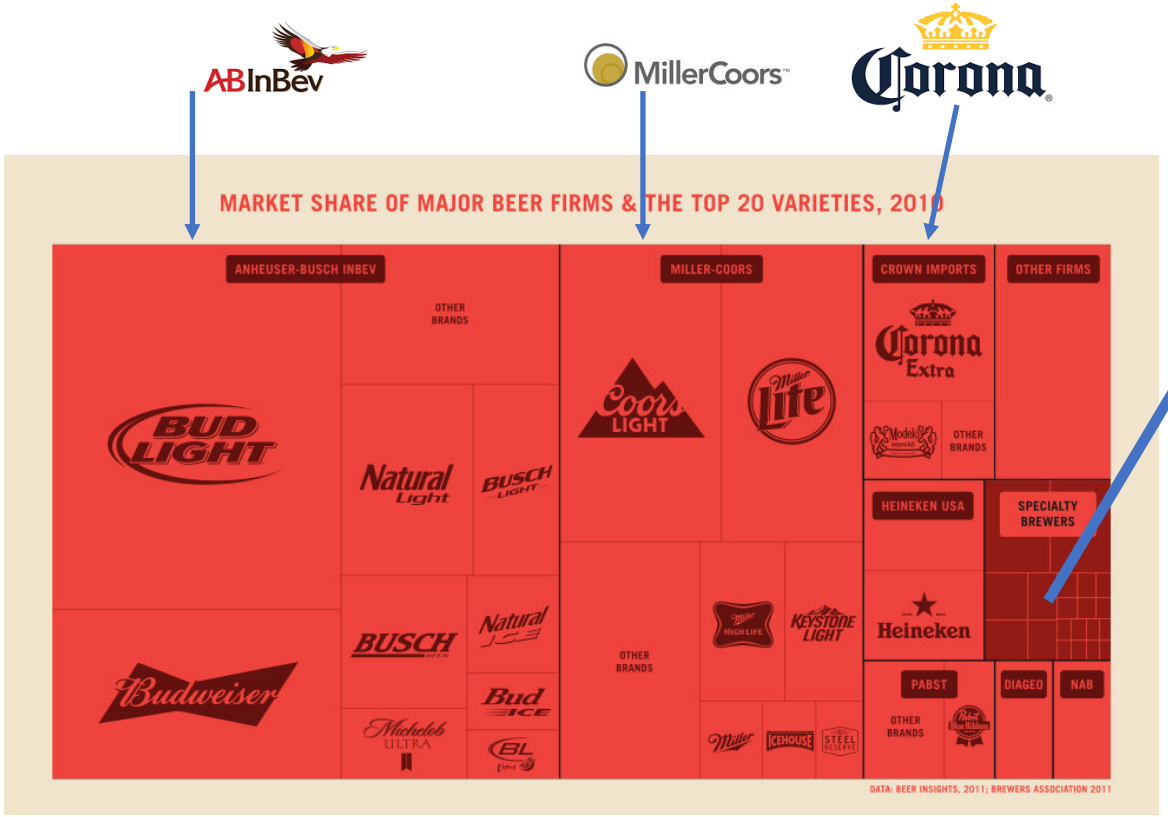
Outsource activity or turn into a strength

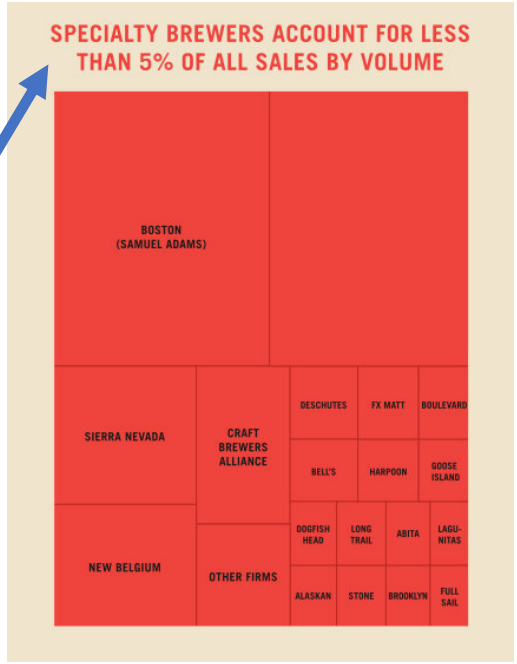
*Distribution
*Costs and Economies of scale


Bargaining Power of Suppliers
SUPPLIER POWER
• Buyers' price sensitivity
• Relative bargaining power
2
Threat of New Entry
5
THREAT OF ENTRY
• Capital requirements
• Economies of scale
• Absolute cost advantage
• Product differentiation
• Access to distribution channels
• Legal/ regulatory barriers
• Retaliation
1
INDUSTRY RIVALRY
Rivalry Between Established Competitors
• Concentration
• Diversity of competitors
• Product differentiation
• Excess capacity and exit barriers
• Cost conditions
Threat of Substitutes
4
SUBSTITUTE COMPETITION
• Buyers' propensity to substitute
• Relative prices & performance of substitutes
BUYER POWER
3
• Buyers' price sensitivity
• Relative bargaining power
Bargaining Power of Buyers

1. COMPETITITION (RIVALRY AMONG EXISTING COMPETITORS):

- Large firms dominate. Many brands but few competitors.
- Craft beers have 5% of the market, but increasing steadily
- Competition is LOW because it is highly concentrated.



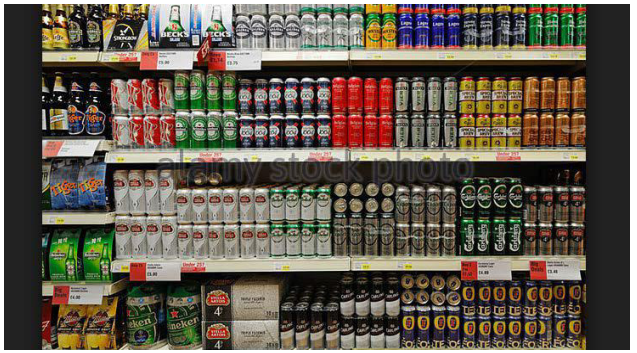


2. **Power of suppliers**:

   Common goods (water, glasses, aluminum, hops)

3. **Power of buyers:**

   Buyers have many options within the category.
   Retailers are big companies
   Shelf space in retailers is costly.

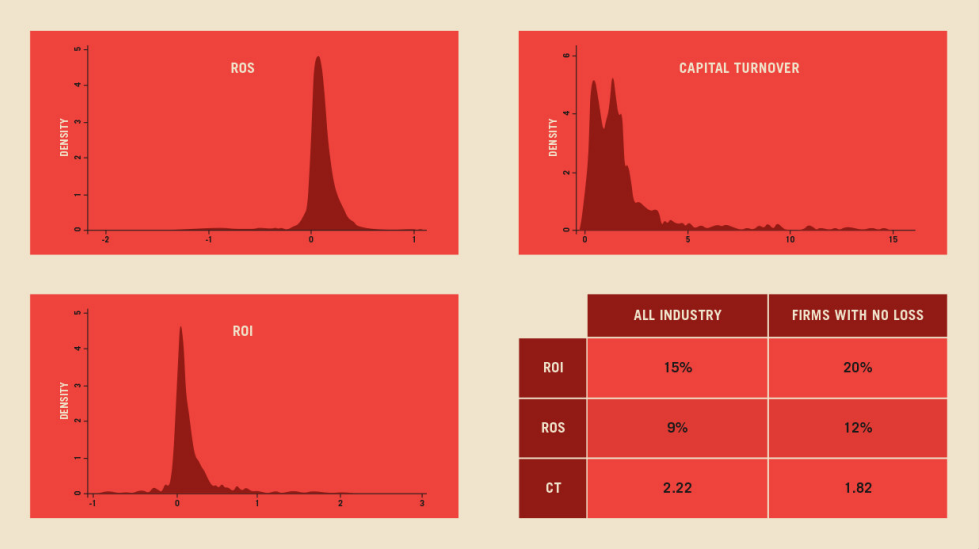


4. **Threat of Substitutes**:

   The beer market is cannibalized by spirits. (millennials like spirits).
   Segmented customers are quite loyal

5. ENTRY BARRIERS:

- **SEGMENT MARKET** → It is easy to create a Craft Brewery. Not much investment.
- **MASSIVE MARKET** → Market share and advertising are the largest entry barriers because the market is price competitive. The economies of scale in production and distribution. Important to be efficient because ROS is sometimes negative.
- There is an issue with **CAPTURING VALUE** **more than** **CREATING VALUE**.



	ALL INDUSTRY	FIRMS WITH NO LOSS
ROI	15%	20%
ROS	9%	12%
CT	2.22	1.82

BEER INDUSTRY: MASS MARKET

PORTER'S 5 FORCES

1.The **Beer** Industry



Threat of New Entrants (Low)

High startup costs and strict regulations limit new competitors, but craft brewing has eased entry barriers.

Bargaining Power of Suppliers (Moderate)

Limited high-quality ingredient suppliers hold some power, but big brewers negotiate bulk discounts.

Industry Rivalry (High)

Intense competition among global beer giants and craft breweries drives price wars and aggressive marketing.

Bargaining Power of Buyers (High)

Consumers and retailers have many beer options, increasing price sensitivity and competition.

Threat of Substitutes (High)

Beer faces strong competition from wine, spirits, hard seltzers, and non-alcoholic alternatives.

Craft Beers
SEGMENT MARKET

Bargaining Power of Suppliers

SUPPLIER POWER 2
- Suppliers' price sensitivity
- Relative bargaining power

Threat of New Entry

THREAT OF ENTRY 5
- Capital requirements
- Economies of scale
- Absolute cost advantage
- Product differentiation
- Access to distribution channels
- Legal/ regulatory barriers
- Retaliation

INDUSTRY RIVALRY 1

Rivalry Between Established Competitors
- Concentration
- Diversity of competitors
- Product differentiation
- Excess capacity and exit barriers
- Cost conditions

Threat of Substitutes

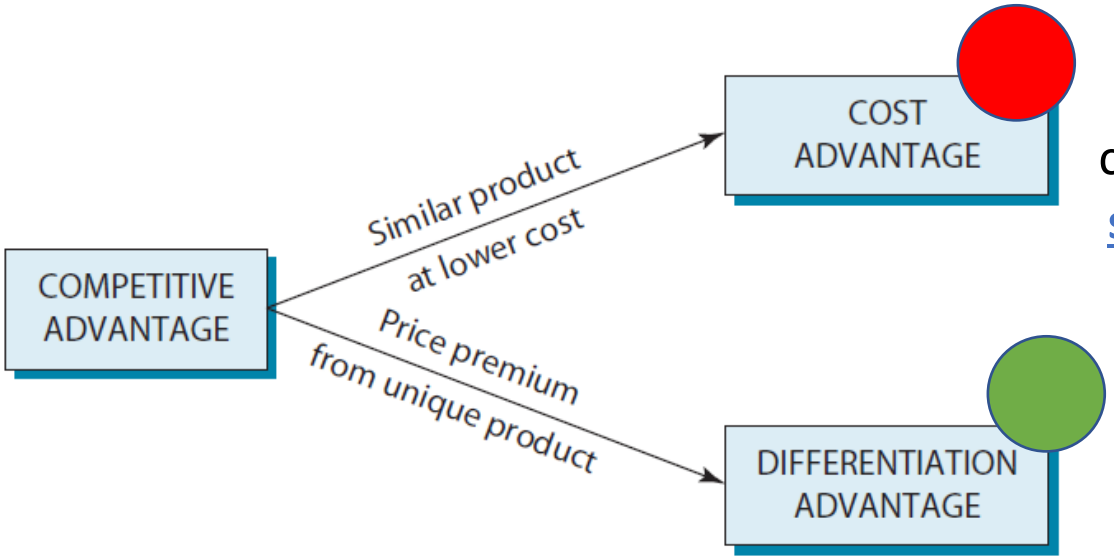
SUBSTITUTE COMPETITION 4
- Buyers' propensity to substitute
- Relative prices & performance of substitutes

BUYER POWER 3
- Low Buyers' price sensitivity
- Relative bargaining power

Bargaining Power of Buyers


KEY SUCCESS FACTORS
Expanding community with strong engagement
Niche market
Arrogant Brewery
Unique brand image
First mover advantage
Unique product
Focus on current customers

DECISION 1:



A start-up is small and NO economies of scale and **NO bargaining power** with distributors.

If you enter the market using a cost strategy, you will most likely **sell under the average cost and lose money**.

DO SOMETHING DIFFERENT

- Can´t be imitate by big beer companies
- Try to capitalize their unique competitive advantage

Part 2 → THE NEW BIG COMPETITOR



1. **PROBLEM**: A mass producer is going to enter into the craft beer market (Niche market).

2. **ANALYSIS**:

    1. **Strength of my Differentiation (Niche) strategy**
    2. **Which unique Resources and Capabilities do we have for competition?**
    3. **Is it possible to change our competitive advantage?**

3. **DECISION** → What is going to be our competitive advantage?

    a) **Launch a low-cost mass market beer**

    b) **Increase strength in their own niche market**

Part 2 → THE BIG WIG (2 m.)

Please, watch the Video nº 2



Part 2 → THE BIG WIG

- Craft Beers market is growing steadily
- BIG COMPETITOR wants to produce craft beer at LOW COST.
- Arrogant Brewing were in a NICHE SEGMENT → It is going to be ATTACKED by a big company

B InBev, MillerCoors, Constellation Brands, and Heineken—which together control 81% of the U.S. market (2016)

All of them have announced craft beer deals as they aim to gain greater exposure to a consumer-led movement away from mass produced beers in favor of locally produces ales.

Craft brewers have doubled their share of the $100 billion beer market, to 11%, in the past four years while sales of mass-market beers have stagnated.

The New York times

So Arrogant Brewing must **DIFFERENTIATE** → *NICH Market:*

- *Brand* → *Lifestyle brand* → *"Bad guy"*
- *Marketing Strategy* → *Distributors prescription*
- *Packaging* → *Glass Bottles*
- *Alcoholic Content* → *High Alcoholic Content*

	PACKAGING	
	CANS	GLASS BOTTLE
HIGH ALCOHOLIC CONTENT		ARROGANT BASTARD
LOW ALCOHOLIC CONTENT	AB InBev	

PRICE

Marketing Strategy		Low Price	High Price
	Direct	AB InBev	Coronita Extra
	Indirect		ARROGANT BASTARD

Who is the Prescriber?

Direct marketing is when target customers are contacted directly by the brand instead of having an indirect medium between them.

The Distributor is the one that does the recommendation ("prescription") of the product.

Distributor / Prescription: Agent who is expert and supplies goods to retailers

TYPE OF COMPETIVE ADVANTAGE

Target Segment (MARKETS CUSTOMERS)		SAME	DIFERENT
	SAME	STAND UP AND BATTLE	COLD WAR
	DIFFERENT	GUERRILLA	ARMED NEIGHBOURS

- Cold war: Customers are the same, but firms serve two different types of tastes (segment or competitive advantage), one that is directed to high elastic preferences, and one to differentiation (i.e. typical in the food and beverage industry).
- Armed neighbors: Firms are different in terms of both competitive advantage and the target segments of the market (i.e. cost advantage for B2B and differentiation for B2C)
- **Stand up battle**: Firms have similar business models and compete for the same space in the industry.
- **Guerrilla**: Firms have the same competitive advantage (i.e. cost), but target different types of customers (i.e. B2B vs. B2C).

Which Resources and Capabilities are we going to use?

- Product Versioning
- Devil´s Logo → Lifestyle brand → customers loyalty
- T-shirts and related products
- Product design and Packaging
- New tastes and beers (R+D)
- Differentiate to Craft beers from the mass market

DECISION 2:

- **Option 1 → Launch a low-cost mass market beer and compete in the mass market.**
  - It is impossible to compete against a giant player and its resources.
  - This would compromise the competitive advantage based on differentiation, specially intangible competitive advantages (customers' perception)
- **Option 2 → Increase strength in their own niche market.**

It is the only possibility → watch the case video

Part 3 → THE OLD FRIEND

1. **PROBLEM**: a former employe wants to create a new brand Craft beer



2. **ANALYSIS**:
    1. **Fundenberg and Tyrole Matrix**

3. **DECISION** → What is going to be our competitive advantage?
    - **a) Accommodate to new entrant (Puppy DOG)**
    - **b) Attack new entrant (Lean & Hungry)**

Part 3 → THE OLD FRIEND (1 m.)

Please, watch the Video nº 3



Part 3 → THE OLD FRIEND (1 m.)

- **Craft Beers market is growing steadily**
- **Arrogant Brewers is also growing steadily.**
- **A NEW COMPETITOR in the same SEGMENT.**

Direct Competition

		POST-ENTRY BARRIERS: AGRESSIVE	POST-ENTRY BARRIERS: ACCOMODATING
EX-ANTE BARRYERS	HIGH	TOP DOG	FAT CAT
	LOW	LEAN & HUNGRY	PUPPY DOG

- **TOP DOG:** This strategy implies that the post-entry behavior of a company is aggressive, and there is a high level of entry barriers in the market. The incumbent retaliates when it sees the entrance of a new player.
- **FAT CAT**: This strategy implies that the post-entry behavior of a company is accommodating, and there is a high level of entry barriers in the market. The incumbent does not retaliate when it sees the entrance of a new player, as they know the entering competitor will also be accommodating.
- **LEAN & HUNGRY**: This strategy implies that the post-entry behavior of a company is aggressive, and there is a low level of entry barriers in the market. The incumbent retaliates when it sees the entrance of a new player. This implies competition will increase in the market.
- **PUPPY DOG**: This strategy implies that the post-entry behavior of a company is accommodating, and there is a low level of entry barriers in the market. The incumbent does not retaliate when it sees the entrance of a new player. *This implies competition will not increase in the market*

PUPPY DOG



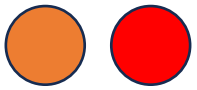
- the **post-entry behavior** of a company is **accommodating**
- there is a low level of entry barriers in the market.
- Competition will not increase in the market.

A higher number of new craft beer producers makes the industry more fragmented but has a **NULL** impact on the market shares of Arrogant Brewing.

When the product features and the value approaches of AB and newcomer are **DIFFERENT**.

When the feeling of community among craft producers is **INCREASING** with new entrants

LEAN & HUNGRY



- **Post-entry behavior** of a company is aggressive
- Low level of entry barriers
- The incumbent retaliates when it sees the entrance of a new player.
- This implies competition will increase in the market.

A higher number of new craft beer producers makes the industry more fragmented but has a **NEGATIVE** impact on the market shares of Arrogant Brewing.

When the product features and the value approaches of AB and newcomer are **SIMILAR**.

When the feeling of community among craft producers is **DECREASING** with new entrants

MAINTAINING COMPETITIVE ADVANTAGE

Puppy Dog:

- **Low entry barriers** in craft beer segment
- High number of **new craft beer producers**
- Industry fragmentation; **no impact** on Arrogant Brewery's market shares
- **Differences in product features and value approaches** between Arrogant Brewery and newcomers
- **Increasing craft community** with new entrants
- Arrogant Brewery should **accommodate, not retaliate**, when a former colleague enters the market with their own company

DECISION 3:

Attack or Accommodate to new entrant?

- **Option 1 → Accommodate to new entrant (Puppy DOG)**

  watch the case video

- **Option 2 → Attack new entrant (Lean & Hungry)**

  watch the case video

Thanks a lot!

Any questions?